

- * Make sure that you have plenty of these small bets; avoid being blinded by the vividness of one single Black Swan. Have as many of these small bets as you can conceivably have. Even venture capital firms fall for the narrative fallacy with a few stories that “make sense” to them; they do not have as many bets as they should. If venture capital firms are profitable, it is not because of the stories they have in their heads, but because they are exposed to unplanned rare events.
- * There is a finer epistemological point. Remember that in a virtuous Black Swan business, what the past did not reveal is almost certainly going to be good for you. When you look at past biotech revenues, you do not see the superblockbuster in them, and owing to the potential for a cure for cancer (or headaches, or baldness, or bad sense of humor, etc.), there is a small probability that the sales in that industry may turn out to be monstrous, far larger than might be expected. On the other hand, consider negative Black Swan businesses. The track record you see is likely to overestimate the properties. Recall the 1982 blowup of banks: they appeared to the naïve observer to be more profitable than they seemed. Insurance companies are of two kinds: the regular diversifiable kind that belongs to Mediocristan (say, life insurance) and the more critical and explosive Black Swan-prone risks that are usually sold to reinsurers. According to the data, reinsurers have lost money on underwriting over the past couple of decades, but, unlike bankers, they are introspective enough to know that it actually could have been far worse, because the past twenty years did not have a big catastrophe, and all you need is one of those per century to kiss the business good-bye. Many finance academics doing “valuation” on insurance seem to have missed the point.